



PHOTO BY YASIR IQBAL

WHETHER YOU STEP out for tea or to buy groceries, you will find yourself reaching out for your phone to make the payment through UPI—whether the amount is ₹50 or ₹500. How did this payment system build such a strong base?

The homegrown ecosystem was launched by National Payments Corporation of India (NPCI) in July 2016. In the first month, there were just 90,000 transactions with a total value of ₹38 lakh. Since then, UPI has grown by leaps and bounds to become almost the default option for digital payments. In

According to data from CareEdge, UPI accounted for 85.9% of the total retail payment volumes in FY26

August 2026 alone, there were 24.51 billion transactions, with their value totalling ₹29.82 lakh crore.

The jump is monumental, to say the least. Annual transaction volumes have jumped a massive 13,000-fold to 241.62 billion in FY26 from 17.8 million in FY17. Transaction value has surged 4,000-fold to ₹314 lakh crore from ₹7,000 crore in the same period.

What is driving this surge is the fact that neither the consumer nor the merchant is charged any fee, since 2020. Before 2020, a merchant discount rate (MDR) of up to 0.3% of the transaction value was applicable on person-to-merchant transactions. The government, in fact, provides some financial subsidy to ensure small-value transactions remain free.

However, as the size and scale of UPI has grown massively, there is also a growing debate on how long the free model can be sustained. There is a section in the ecosystem that believes it's time an MDR is levied on UPI transactions too, just as there is an MDR on credit and debit card payments. The argument is that the fee could be used for infrastructure enhancement and further development of UPI.

MDR is a fee that businesses pay to payment processors for accepting digital payments.

The discussion gained traction after the Taxation and Other Laws (Amendment) Bill, 2026, was passed by Parliament in August. The law itself doesn't impose an MDR on UPI. However, as the finance ministry explained, it is an enabling provision designed to ensure UPI's long-term sustainability, technological advancement, and resilience against emerging risks.

The government has also categorically stated that consumers making

UPI IN NUMBERS



Almost 13,000-fold surge in transaction volume from 17.8 million in FY17 to 242 billion in FY26



Around 4,000-fold increase in transaction value from ₹7,000 crore in FY17 to around ₹314 lakh crore in FY26



Number of live institutions on UPI has grown from 44 in FY17 to 703 in 2025-26 and 741 in July 2026



In July 2016, the first month of launch, UPI processed 90,000 transactions worth ₹38 lakh



In August 2026, UPI transactions touched a record 24.51 billion, valued at ₹29.82 lakh crore